EARNINGS PREVIEW · NVIDIA

# NVIDIA Into 17 November: The $108 Billion Quarter

*NVIDIA reports its fiscal third quarter after the close on Tuesday 17 November. It has guided to $108 billion of revenue, more than twice the level of a year earlier, at a time when investors are questioning who pays for AI and chip stocks have just had their worst day since June. This preview sets out what the company guided, what consensus expects, the lines that matter and how the backdrop has changed since August.*

Global Markets Research · Equity Strategy Desk Prepared by ANDRA MARKETS

~$96B

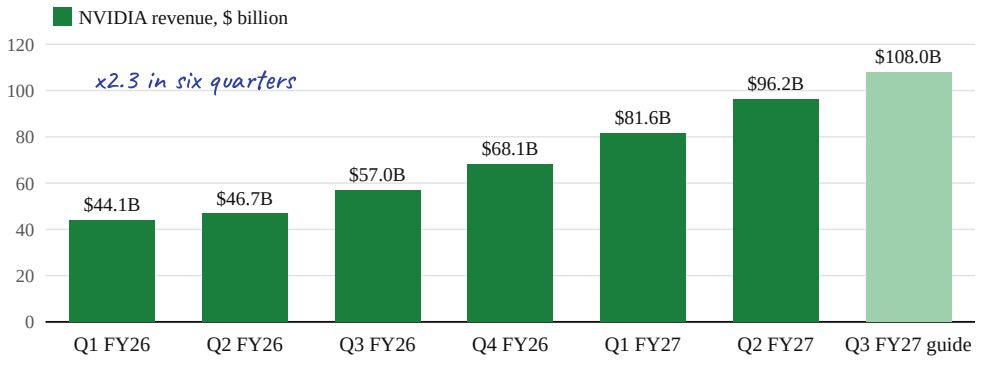
**Coverage summary.** In August NVIDIA reported second-quarter revenue of $96.2 billion, up 106%, with data centre revenue of $89.0 billion, and guided the third quarter to $108B, plus or minus 2%, with gross margin of 74%, assuming no data centre compute revenue from China. Consensus compiled by MarketBeat is $108.8 billion of revenue and EPS of $2.47, against $57.0 billion and $1.30 a year earlier. Since then the backdrop has darkened: the hyperscalers that buy most of NVIDIA's systems reported negative free cash flow, Intel's guidance triggered a 7% fall in the semiconductor index and NVIDIA's market value slipped below $5 trillion, ceding first place to Apple. The quarter matters less for whether demand is strong, which the cloud results confirm, than for whether NVIDIA can show the customer base broadening beyond the largest clouds.

+90% y/y guided

consensus ≈ the guide

| Q3 REVENUE GUIDE | CONSENSUS | GROSS MARGIN GUIDE | REPORT DATE |
|---|---|---|---|
| **$108B** | **$108.8B** | **74%** | **17 Nov** |
| *±2%; no China DC compute* | *EPS $2.47 (MarketBeat)* | *±50bp* | *after the close* |

EXHIBIT 1. NVIDIA QUARTERLY REVENUE ($ BILLION)




x2.3 in 18 months

*Sources: NVIDIA 8-K releases (fiscal 2026 and 2027); Q3 FY27 is company guidance. Fiscal Q3 FY27 runs from late July to late October 2026.*

## 1.0 Executive Summary

*What to watch on 17 November*

~$96B

**A beat is the baseline.** NVIDIA has beaten its own revenue guidance every quarter of this cycle; in August it reported $96.2 billion against a $92.2 billion consensus. With consensus above the guide, an in-line print would be read as a slowdown.

beat priced in

Q4 guide = the event

**The fourth-quarter guide is the real event.** The market will compare it with hyperscaler capex plans that point to roughly $935 billion of spending in 2027, and with the step-up implied by Alphabet's fourth quarter.

~$935B

**Vera Rubin is ramping.** Production shipments began in August and management expected Rubin to be about 20% of data centre revenue in the third quarter. The transition is the main swing factor for gross margin.

**Breadth of buyers.** Hyperscalers were $48.7 billion of data centre revenue in the second quarter and AI clouds, industrial and enterprise customers $40.3 billion. Growth in the second group would answer the concentration question raised this week.

**China is excluded.** The outlook assumes no data centre compute revenue from China. Any licence for sales there would be pure upside to guidance; the US-China truce deadlines on 9 and 10 November could affect that.

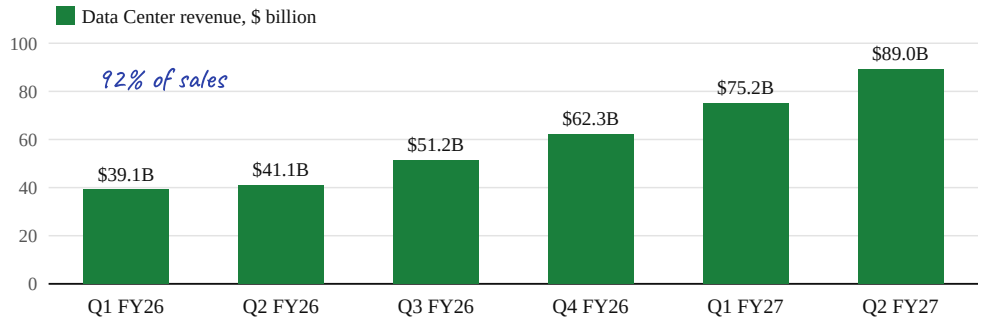
**Our reading.** The operating numbers are likely to be strong. The share reaction will depend on the fourth-quarter guide, gross margin through the Rubin ramp and evidence of demand outside the largest clouds, in a market that has started to price the cost of AI as well as its growth.

## 2.0 The Trajectory

*Six quarters of acceleration*

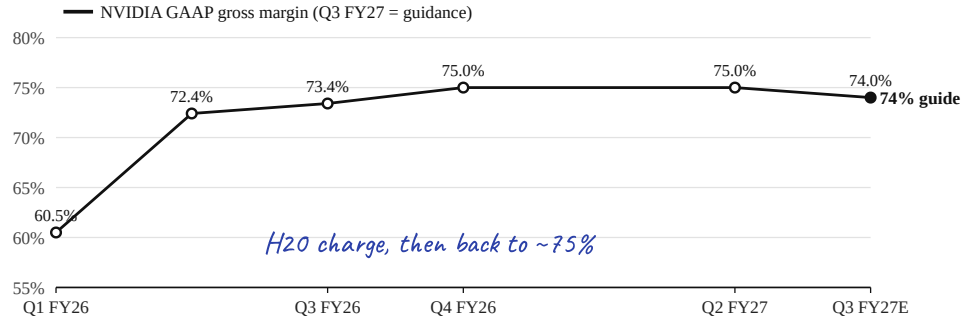
NVIDIA's revenue has accelerated for four consecutive quarters, from growth of about 62% to 106% in the second quarter of fiscal 2027. Data centre revenue reached $89.0 billion, about 92% of the total and up 117% from a year earlier. Fiscal 2026 revenue was $215.9 billion; the first two quarters of fiscal 2027 already add up to $177.8 billion. Management said in August that multiple frontier labs are now scaling in parallel, rather than one lab driving the build-out as a year ago, and that compute has become revenue for customers. Gross margin recovered from 60.5% in the first quarter of fiscal 2026, hit by a $4.5 billion China charge, to 75% and is guided at 74% for the third quarter.

**Exhibit 2. NVIDIA Data Center revenue ($ billion)**




*Sources: NVIDIA 8-K releases.*

**Exhibit 3. NVIDIA GAAP gross margin by quarter (%)**




*Sources: NVIDIA 8-K releases; Q1 FY27 not shown; Q3 FY27 is guidance (74% ±50bp).*

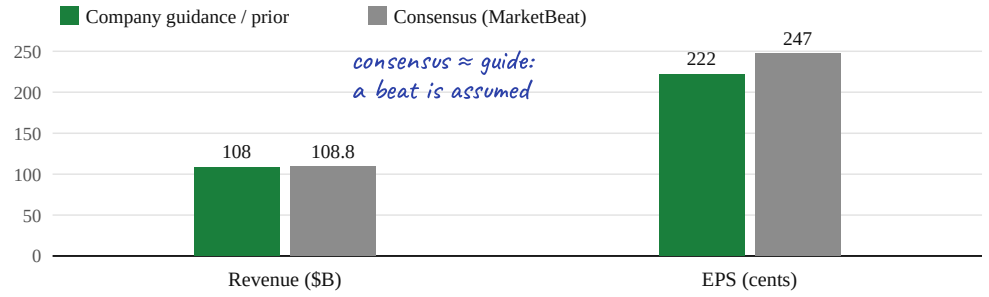
## 3.0 Guidance and Consensus

*How high the bar is*

The guidance range runs from $105.8 billion to $110.2 billion. MarketBeat's consensus of $108.8 billion sits slightly above the midpoint and implies growth of about 91% from a year earlier; EPS consensus is $2.47 against $2.22 in the second quarter. Since the first quarter of fiscal 2027, NVIDIA's

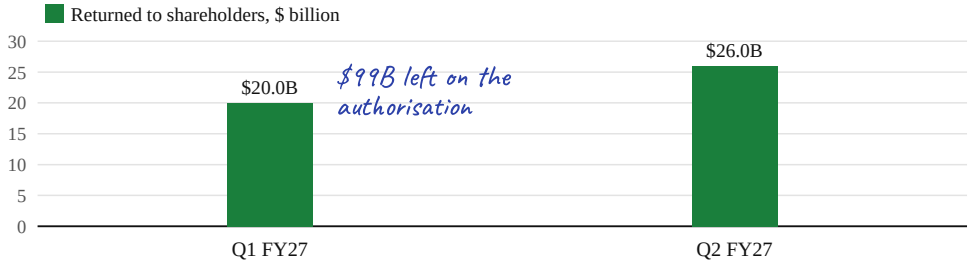
non-GAAP figures no longer exclude stock-based compensation, so non-GAAP EPS is not directly comparable with older periods. The company has used part of its cash to return $20 billion and $26 billion to shareholders in the last two quarters and had $99 billion left on its repurchase authorisation.

**Exhibit 4. Q3 FY27: guidance vs consensus**




*Sources: NVIDIA guidance (revenue) and Q2 FY27 non-GAAP EPS ($2.22, shown in cents); MarketBeat consensus (revenue $108.8B, EPS $2.47).*

**Exhibit 5. Capital returned to shareholders ($ billion)**




*Sources: NVIDIA 8-K releases (Q1 and Q2 FY27).*

## 4.0 Who Buys

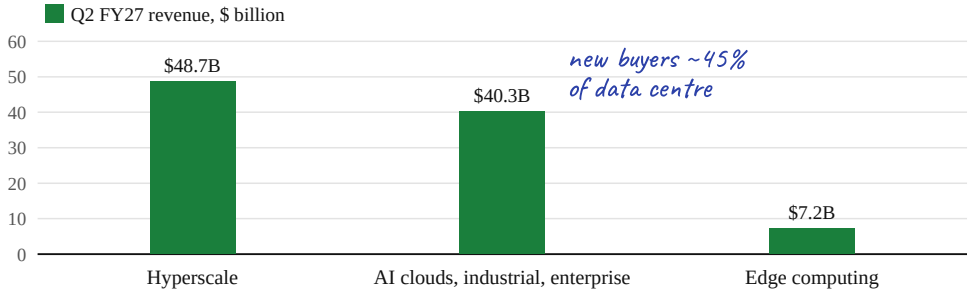
*The concentration question*

~$49B

From the first quarter of fiscal 2027, NVIDIA splits data centre revenue into Hyperscale, covering public clouds and the largest consumer internet companies, and ACIE, covering AI clouds, industrial and enterprise customers. In the second quarter Hyperscale was $48.7 billion and ACIE $40.3 billion; edge computing added $7.2 billion. The hyperscalers' own numbers this week show why the split matters: Amazon, Alphabet, Microsoft and Meta guide to about $730 billion of capex in 2026, and FactSet consensus for 2027 is about $935 billion, but two of the four now spend more than their operating cash flow. If ACIE grows faster than Hyperscale, the concentration risk falls; if it stalls, NVIDIA's fortunes stay tied to four balance sheets.

hyperscale ~55%

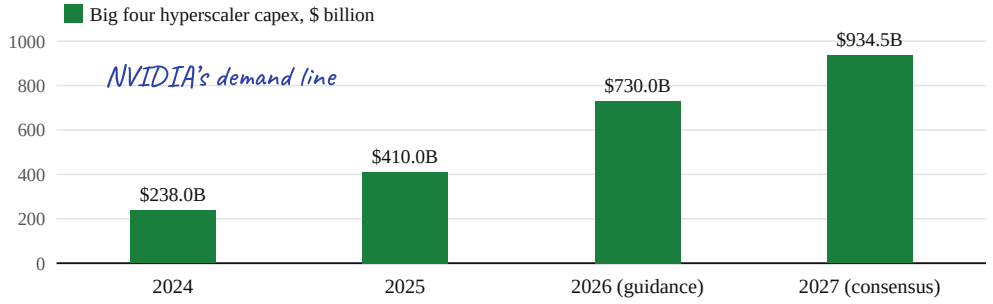
**Exhibit 6. NVIDIA revenue by market, Q2 FY27 ($ billion)**




new buyers growing

*Source: NVIDIA Q2 FY27 results via Webull, citing CNBC.*

**Exhibit 7. Big four hyperscaler capital expenditure ($ billion)**




*Sources: Andra Markets 2026-73 (Forbes, ValueAdd VC, FactSet via IO Fund).*

## 5.0 The Backdrop

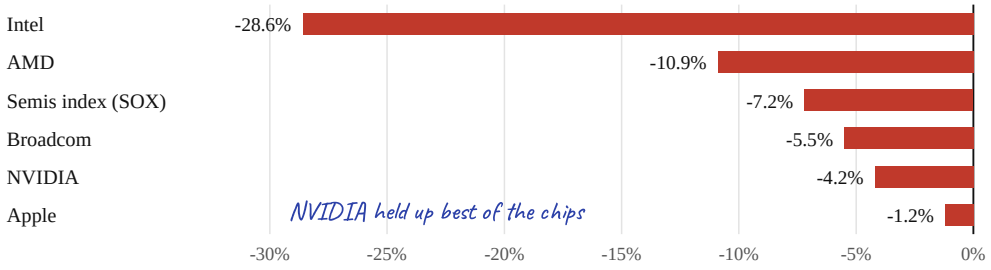
*What changed since August*

SOX -7%, NVDA -4%

The setup has changed in three ways since the August report. First, the hyperscalers' cash flows: Alphabet and Amazon reported negative free cash flow and are funding capex with debt and equity, which raises the question of how long spending can outrun cash. Second, rates: the Fed is likely to hike again in December, the ten-year Treasury yield touched 5.31% in early October and PCE inflation rose to 3.6%. Third, the rest of the chip market: Intel's guidance showed AI absorbing supply, capital and memory pricing at the expense of PCs, and the semiconductor index fell 7.2% on 30 October. NVIDIA fell 4.2%, less than most peers, but its market value slipped below $5 trillion.

~5.3%

**Exhibit 8. Price change on 30 October 2026 (%)**




*Sources: Seoul Economic Daily; Fool.com; StockTitan. Approximate closing changes.*

## 6.0 Scenarios

*How the report could land*

*Exhibit A. Andra Markets scenarios for the 17 November report*

| Scenario | Prob. | What NVIDIA reports | Likely read |
|---|---|---|---|
| Beat and raise | 50% | revenue above $110B; Q4 guide well above consensus; margin ≥74% | AI cycle intact; relief for chips |
| Beat, cautious guide | 35% | revenue near $109-110B; Q4 guide in line; margin dips on Rubin | 'good but priced'; muted reaction |
| Disappointment | 15% | revenue near low end; guide below consensus or margin below 73% | reinforces AI-payoff doubts across tech |

*Andra Markets scenarios; probabilities are judgemental. Not a recommendation on any security.*

*Exhibit B. Lines to watch*

| Line | Last quarter | Why it matters |
|---|---|---|
| Revenue vs $108B guide | $96.2B vs $91B guided | size of the beat |
| Q4 revenue guide | n.a. | 2027 demand signal |
| Gross margin | 75.0% | Rubin ramp, pricing power |
| Hyperscale vs ACIE | $48.7B vs $40.3B | breadth of buyers |
| China | none in guidance | upside if licences resume |
| Buybacks | $26B returned | capital allocation at current prices |

*Sources: NVIDIA Q2 FY27 release and CFO commentary.*

*reading: the numbers will likely be strong; the Q4 guide, margins through Rubin and breadth of buyers decide the reaction*

## Methodology and Source Notes

**Method.** This preview uses NVIDIA's 8-K releases and CFO commentary for fiscal 2026 and the first half of fiscal 2027, consensus from MarketBeat, and hyperscaler data from Andra Markets 2026-73, as available on 31 October 2026. The report date of 17 November follows company and calendar confirmations; some trackers show 18 November. Scenario probabilities are judgemental. Not a recommendation on any security. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

**Principal sources.** NVIDIA 8-K releases (Feb, May and Aug 2026) and CFO commentary; MarketBeat; Webull; Yahoo Finance; Wall Street Horizon; Seoul Economic Daily; Fool.com; StockTitan; Andra Markets 2026-73 and 2026-75.

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